

Signs of Caution in January Consumer Spending Even Ahead of Iran Conflict

Economic Indicator

Economist(s)



[Tim Quinlan](#)

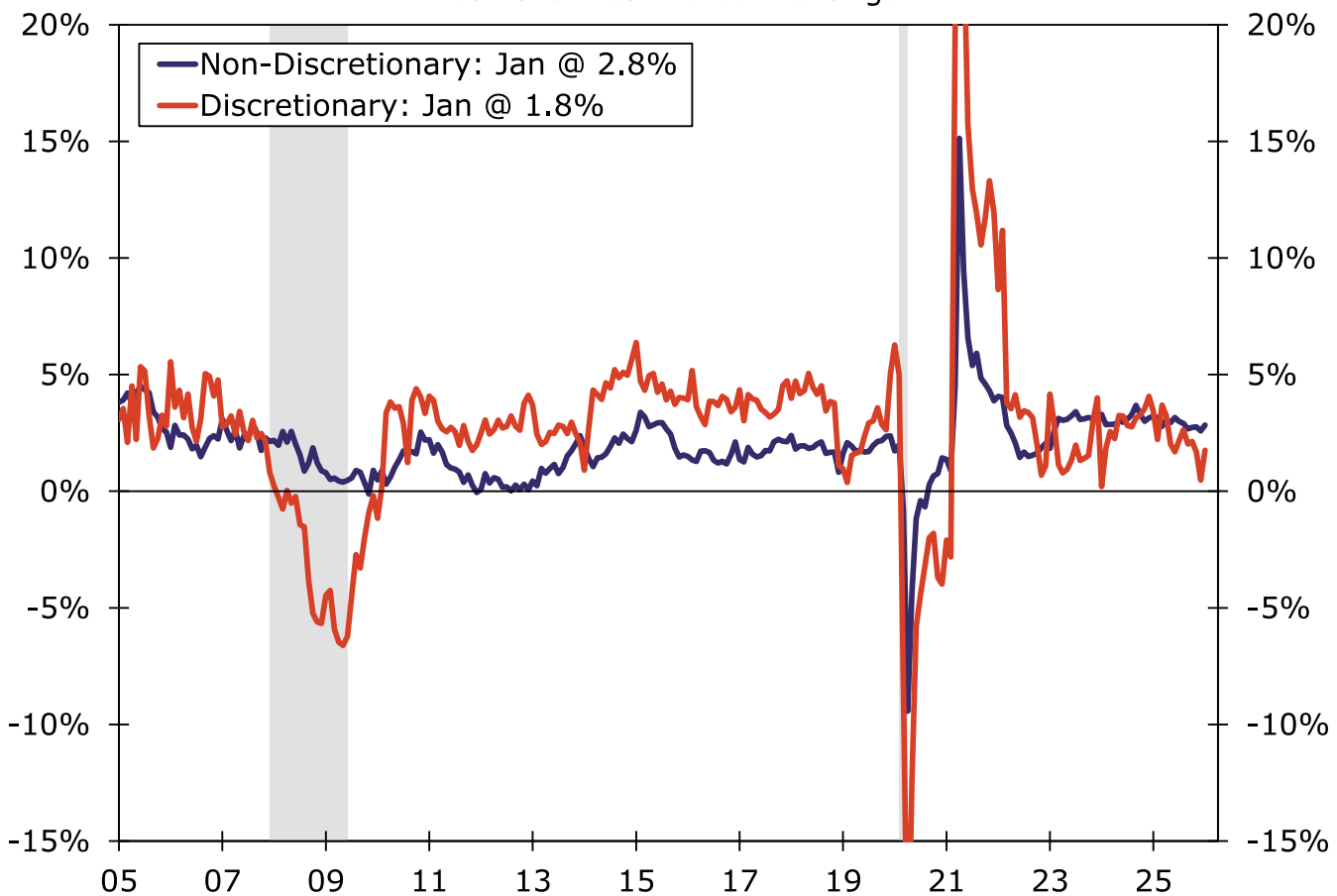


[Shannon Grein](#)

- The January personal income and spending data feel even more dated in the wake of the ongoing conflict in Iran. Consumer spending momentum continued at the start of the year, but a modest pullback in discretionary services categories of spending signals some signs of caution among consumers, even ahead of the recent oil-price shock.
- Strong growth in wages & salaries in January was an encouraging sign, and together with the annual social security cost-of-living adjustment, helped propel real disposable income growth, or purchasing power of households, to grow at the fastest monthly pace in about three years.
- The modest 0.1% gain in real spending combined with some modest downward revisions to Q4 real personal consumption expenditures growth suggests real spending is tracking at a slower annualized clip (~1.5%) than we currently have forecast (1.9%) in Q1.
- Consumer inflation remained contained at the start of the year. But the ongoing conflict in Iran is likely to dent households' purchasing power in coming months amid higher gasoline prices, and we've marked down our consumer spending forecast in our recent update as a result.

Real Consumer Spending

Year-over-Year Percent Change



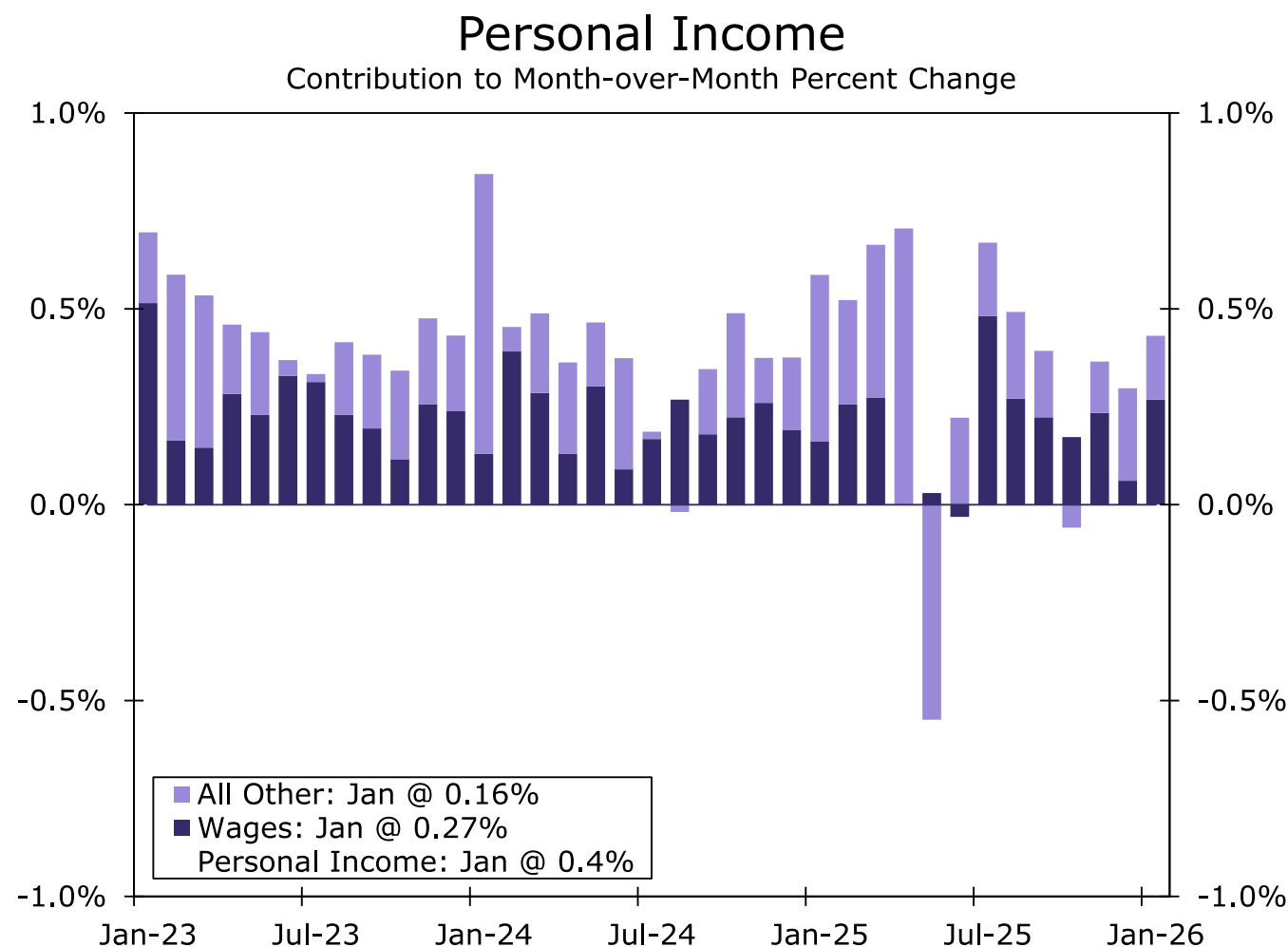
Source: U.S. Department of Commerce and Wells Fargo Economics

Pop in Wages, but Signs of Caution in Spending

As markets remain keenly focused on the conflict in Iran and potential domestic impact, the January personal income & spending data feel even further out of date. They're still important in terms of monitoring the state of the consumer, and show households entered the year with fairly sturdy spending momentum. But under the surface a renewed slowing in discretionary spending suggests some cautious behavior among households, even ahead of the recent oil-price shock.

Real personal spending rose 0.1% as goods spending slipped (0.4%) and services consumption expanded (0.3%). At first pass, the fastest pace of services spending in four months is encouraging and signals resilience despite the weaker [retail sales print](#) last week.

While that remains true, the main discretionary services components (transportation services, recreation services and food services & accommodation) all slowed during the month. As we can see in the nearby [chart](#), the broader pace of annual discretionary spending has broken lower in recent months and signals some cautious behavior among households.



Source: U.S. Department of Commerce and Wells Fargo Economics

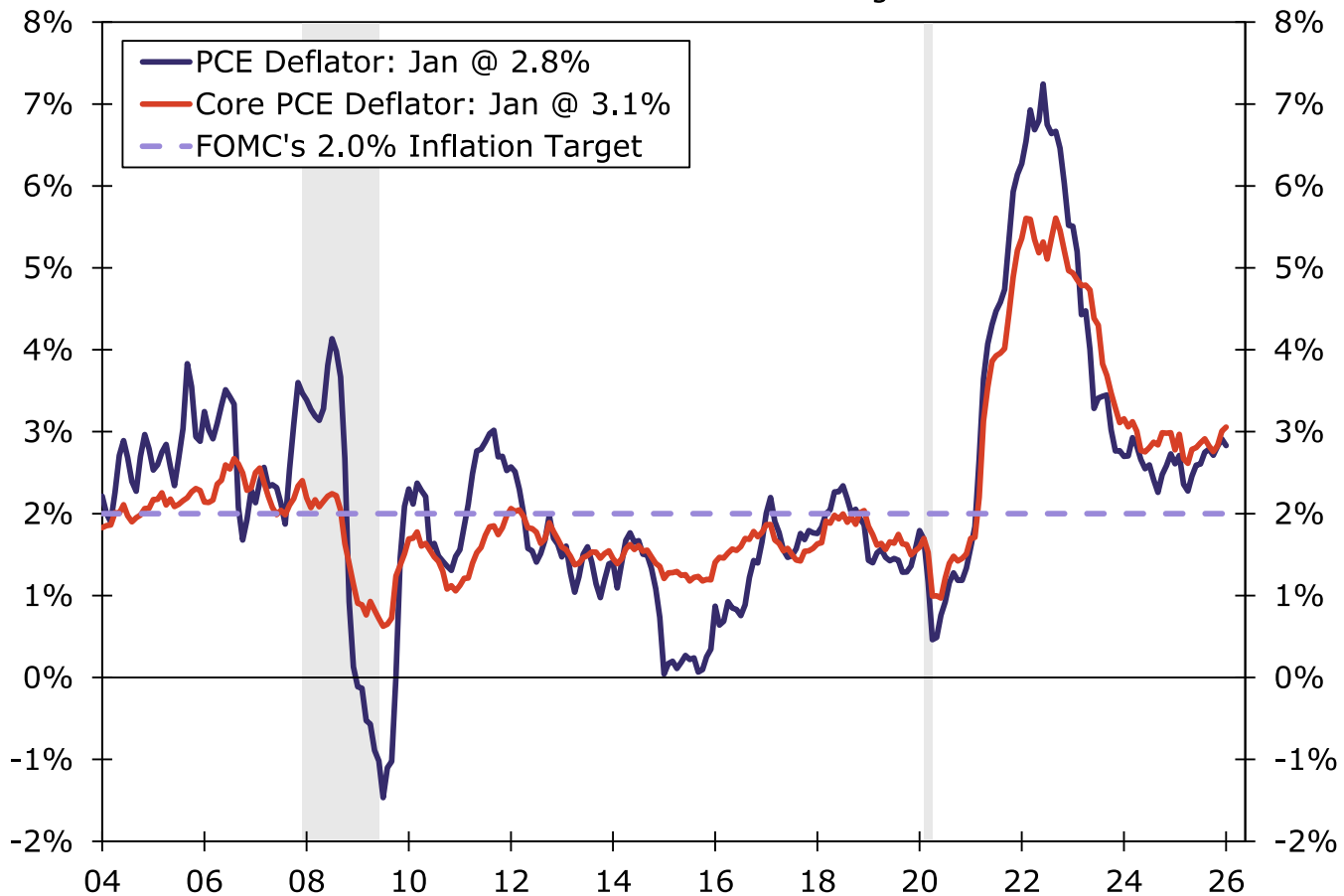
The 0.4% gain in personal income came in how we anticipated for total growth, but the details suggest income was a bit sturdier than we anticipated ([chart](#)). That's because most of the growth stems from a 0.5% gain in wages & salaries, or the largest monthly gain in four months, rather than solely resting on the annual cost-of-living adjustment (COLA) to social security benefits. Together these two components propelled total real disposable personal income growth, or household purchasing power, to rise at its fastest monthly clip in three years, up 0.7%.

There was little surprise on the inflation side. The core PCE deflator rose 0.4%, lifting the annual rate of inflation a tenth to 3.1% ([chart](#)). With the [Consumer Price Index in for February](#) and the ongoing conflict in Iran, these data feel stale as we brace for some upside to inflation in the coming months.

In addition to today's personal income & spending report, we got the second estimate of fourth-quarter GDP growth, which sliced the fourth-quarter GDP figure in half—a 0.7% annualized clip, versus 1.4% previously estimated. The downward revisions stemmed from lower services exports, softer structures investment, and weaker consumer services spending. The modest real spending data for January, combined with downward revisions to Q4 spending, suggest some modest downside risk to our estimate of a 1.9% annualized rate of real personal consumption expenditure (PCE) growth in Q1 and suggest PCE is tracking closer to about 1.5%.

PCE vs. Core PCE Deflator

Year-over-Year Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

Higher gasoline prices in the wake of the conflict in Iran will likely exert some modest downward pressure on household purchasing power in coming months. In a [recent note](#), we highlight how gasoline and even broader energy-related purchases make up a smaller share of household spending today than they once did. But even so, we've marked down our consumer spending forecast in [our recent update](#) as a result and expect a slower pace of spending this year.

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/13/2026 unless otherwise stated. 3/13/2026 10:20:41 EDT.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Securities, LLC ("Wells Fargo Securities"). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. Wells Fargo Securities distributes this report directly and through affiliates including, but not limited to, Wells Fargo & Company, Wells Fargo Bank, N.A., Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities

Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our internal client website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by Wells Fargo Securities. Wells Fargo Securities does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of Wells Fargo Securities.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by Wells Fargo Securities to be reliable, but has not been independently verified by Wells Fargo Securities, may not be current, and Wells Fargo Securities has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of Wells Fargo Securities and may differ from the views and opinions of other departments or divisions of Wells Fargo Securities and its affiliates. Wells Fargo Securities is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither Wells Fargo Securities nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. Wells Fargo Securities is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

You are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for your own use and for no other purpose. Without the prior written consent of Wells Fargo Securities, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. "AI Technologies" means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment. In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by Wells Fargo Securities, its affiliates or one or more third parties (collectively, "Protected Content"). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from Wells Fargo Securities or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. All rights not expressly granted herein are reserved by Wells Fargo Securities or the third-party providers from whom Wells Fargo Securities has obtained the applicable information. © 2026 Wells Fargo Securities, LLC

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority ("FCA"). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE